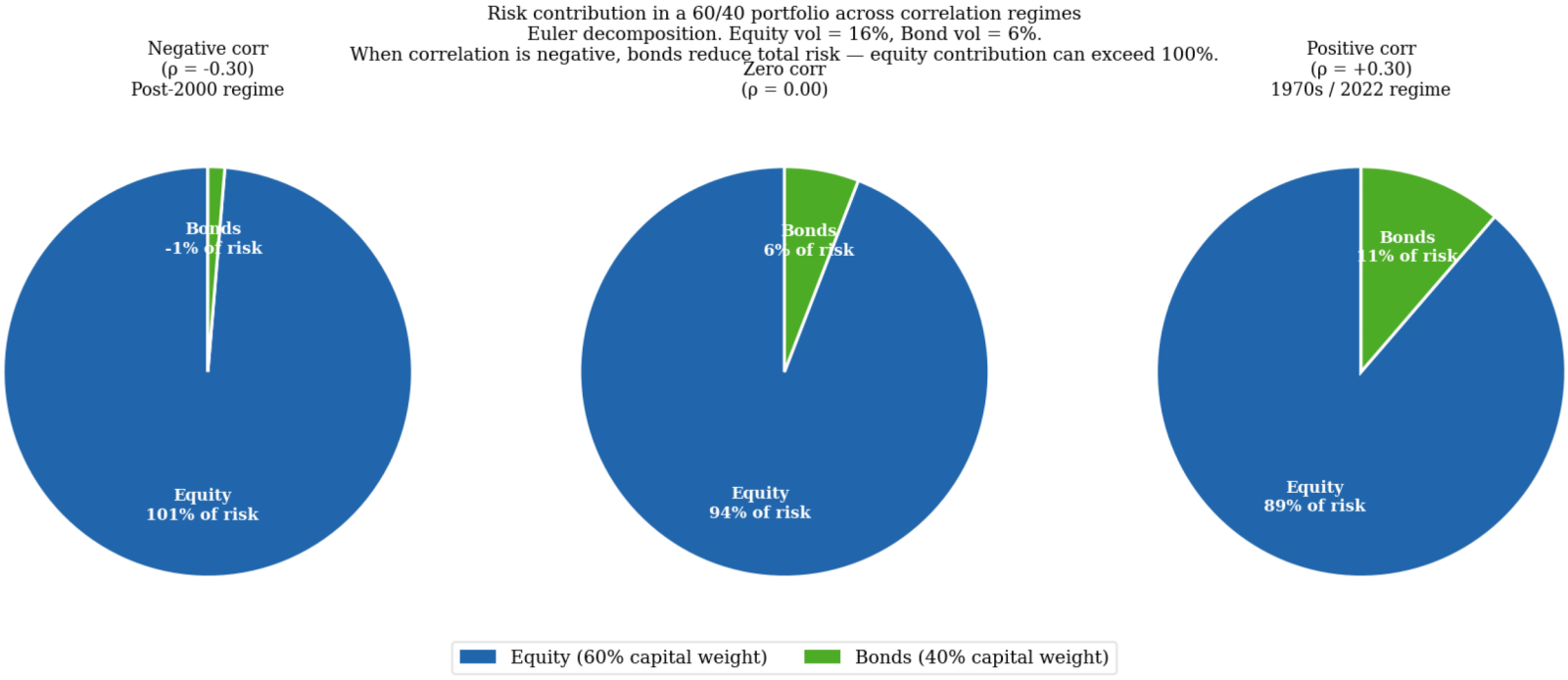
Risk contribution in a 60/40 portfolio across correlation regimes
Euler decomposition. Equity vol = 16%, Bond vol = 6%.
When correlation is negative, bonds reduce total risk — equity contribution can exceed 100%.
Negative corr
(ρ = -0.30)
Post-2000 regime
Bonds
-1% of risk
Equity
101% of risk
Zero corr
(ρ = 0.00)
Bonds
6% of risk
Equity
94% of risk
Positive corr
(ρ = +0.30)
1970s / 2022 regime
Bonds
11% of risk
Equity
89% of risk
Equity (60% capital weight)
Bonds (40% capital weight)